

July 14, 2026 12:26 AM GMT

Apple, Inc. | North America

Higher Prices Begets Higher Earnings

Analysis of historical elasticity suggests rev upside for iPad/Mac given recent price hikes, while our BOM analysis implies price hikes are likely protecting margins. As such, we expect \$200 iPhone price hikes in Sept. All else equal, this could drive 2-4% upside to F3Q EPS / 1% upside to FY27 EPS.

AlphaWise 

Key Takeaways

- We estimate historical elasticity of iPhone is 0.2-0.5 – making it Apple's most inelastic product – while Mac/iPad elasticity is 0.8-1.0.
- Stable Mac/iPad lead times and iPhone build plans suggest recent price increases have not changed consumers' purchasing behavior or Apple's manufacturing plans.
- Non-iPhone pricing actions indicate Apple is prioritizing margin preservation as memory costs rise sharply.
- We now view a \$200 like-for-like iPhone 18 starting price increase (vs. iPhone 17) as more likely than the \$100-150 increase in our model.
- Stable margins, premium mix and pricing actions support 2-4% C3Q26 EPS upside and ~1% FY27 EPS upside, all else equal.

The market is increasingly focused on the impact of price hikes on Apple fundamentals. Our analysis suggests higher prices = higher earnings power. Our analysis suggests Apple's core product (i.e. iPhone, Mac, and iPad) demand has been somewhat inelastic, with iPhone being the most inelastic product within Apple's product ecosystem, followed by Mac and then iPad. This generally means that recent price increases are unlikely to materially disrupt demand, especially considering supply challenges at peers. Importantly, recent pricing increases across Apple's non-iPhone portfolio also suggest Apple is likely prioritizing margin preservation as memory costs rise. Notably, despite these pricing actions, we have not observed any meaningful changes in Mac or iPad lead times ([Exhibit 1](#) and [Exhibit 2](#)), while our supply chain checks also suggest iPhone build plans have remained largely unchanged in the last several weeks. Taken together, we believe Apple's strategy of raising prices and protecting margins could lead to 2-4% upside to F3Q26 EPS and ~1% upside to FY27 MSe EPS, all else equal. While Apple shares have recovered to pre-WWDC levels (\$310+), our OW thesis remains intact. We continue to see a longer-term path toward an AI-driven replacement cycle as Apple Intelligence and Siri AI functionality steadily improves, while a stronger near-term product roadmap – including the first-ever Apple Foldable, an improved iPhone Air 2, and the anticipated 20th anniversary iPhone lineup – should support healthy

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Apple, Inc. (AAPL.O, AAPL US)	
IT Hardware United States of America	
Stock Rating	Overweight
Industry View	Cautious
Price target	\$360.00
Shr price, close (Jul 13, 2026)	\$317.31
Mkt cap, curr (mm)	\$4,670,887
52-Week Range	\$323.45-201.50

Fiscal Year Ending	09/25	09/26e	09/27e	09/28e
EPS (\$) **	7.46	8.89	10.30	11.07
Prior EPS (\$) **	-	-	-	-
P/E	34.1	35.7	30.8	28.7
EPS (\$) §	-	8.77	9.72	10.84
Div yld (%)	0.4	0.3	0.4	0.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	2.40	-	2.84a	-	2.86
Q2	1.65	-	2.01a	-	2.49
Q3	1.57	-	1.89	-	2.45
Q4	1.85	-	2.15	-	2.49

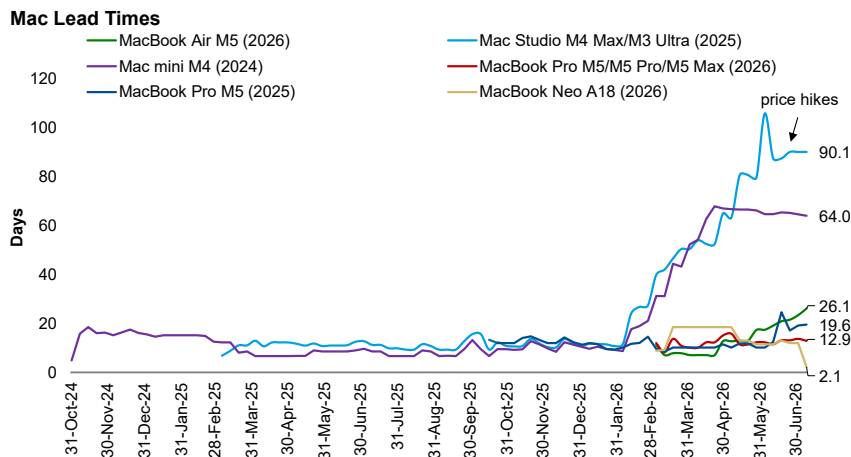
e = Morgan Stanley Research estimates, a = Actual Company reported data

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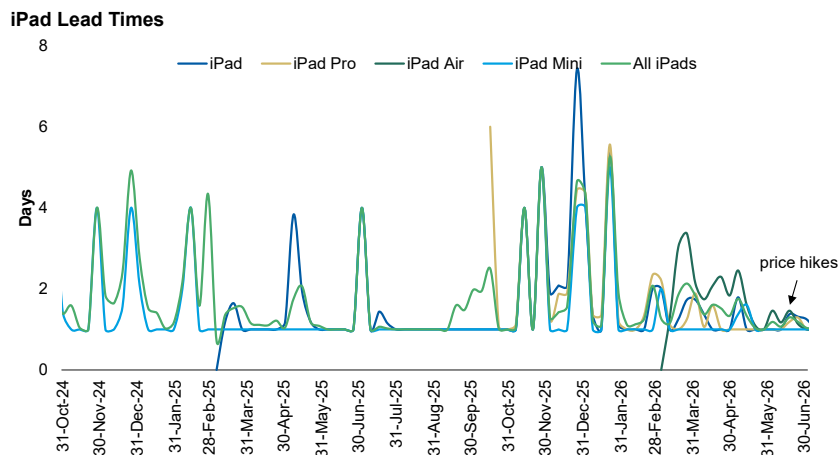
iPhone demand through FY27 and FY28. Three upcoming catalysts to watch: (1) June quarter results and September quarter guidance (*which we'll preview more formally*), (2) the September (iPhone 18 Pro/Pro Max/Foldable) iPhone launch, and (3) the public beta release of Siri AI.

Exhibit 1: While Mac Studio and Mac mini lead times remain elevated due to processor supply constraint, lead times for newly released Macs are largely stable W/W as of July 9



Source: Apple.com, Morgan Stanley Research

Exhibit 2: iPad lead times are 1-2 days as of July 9, fairly accessible compared to Mac



Source: Apple.com, Morgan Stanley Research

First, we dug deep into the history books to find all examples of Apple price hikes across mainstream Hardware devices. We estimate elasticity is between 0.2-1.0.

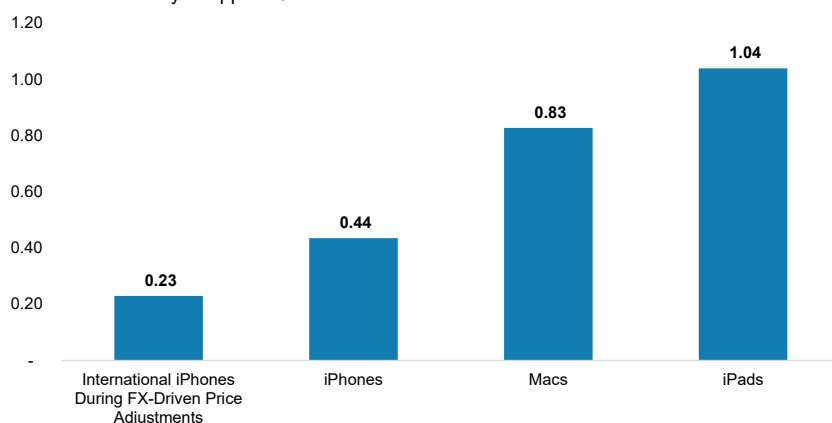
Working with our Sector Quant team, we analyzed the relationship between pricing and unit shipments across prior product cycles and estimate historical Apple mainstream Hardware elasticity at roughly 0.2-1.0 ([Exhibit 3](#)).

While far from a perfect exercise – for example, Apple has not meaningfully increased like-for-like iPhone pricing in 5+ years, leaving us with a limited sample size – the analysis nonetheless suggests that Apple's mainstream hardware, notably iPhone, demand has historically been relatively resilient to price increases. Mac and iPad, of course, exhibit greater price elasticity given they tend to be more

discretionary purchases vs. iPhone. Although our sample sizes limit precision, the broader takeaway is that Apple's flagship products on aggregate have historically maintained resilient demand levels even as pricing moves higher. If these relationships remain intact, higher pricing should be a net positive for revenue/revenue growth.

Exhibit 3: Despite the limited sample size, our Sector Quant team's work suggests that iPhones (0.2-0.4) and Macs (0.8) have historically exhibited relatively inelastic demand, while iPads (1.0) have shown roughly unitary price elasticity.

Historical Elasticity of Apple's Core Devices



Source: Company data, IDC, Morgan Stanley Research

Second, our analysis of the iPad and Mac bill-of-materials (BOM) suggest recent price hikes are likely meant to protect gross margins. While we do not have

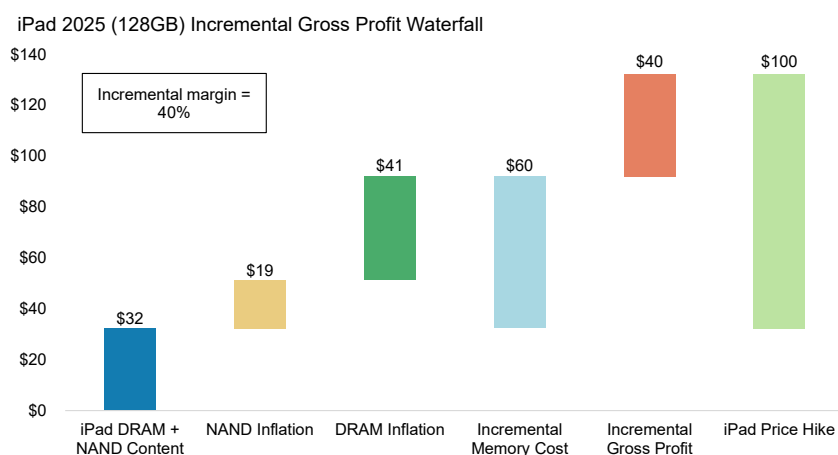
detailed BOM estimates across the entire product portfolio, leveraging IDC shipment data by storage configuration and our understanding of device DRAM content, we calculate that the incremental margin associated with a \$100-200 pricing increase on iPads – assuming the price increase is solely intended to offset memory cost inflation – would fall in the high-20% range in FY27 ([Exhibit 4](#)). That is broadly consistent with our estimate of historical iPad gross margins. To put this into context, we use the most popular (i.e. highest shipments, according to IDC) iPad and Mac models as examples and contextualize the incremental gross margin for Apple's price hikes, and our estimates would lead us to the same conclusion – Apple is more likely to protect gross margin than gross profit dollars for its non-iPhone products ([Exhibit 5](#) and [Exhibit 6](#)). For context, our model assumes Apple's average DRAM cost per bit rises ~190% Y/Y in FY27 (or ~370% above average FY25 levels), while NAND cost per bit increases ~180% Y/Y on average (or ~280% above average FY25 levels). We acknowledge Apple's actual memory procurement costs could increase faster than our assumptions imply. However, our checks suggest Apple has been building memory inventory wherever possible, implying a lag between higher procurement costs and P&L recognition. This timing dynamic matters because it means today's pricing actions may only partially offset future cost pressures. If memory costs remain elevated – or move higher still – Apple could ultimately require additional pricing actions in FY28 to maintain its margin profile, although it is clearly too early to draw firm conclusions about pricing strategy two years out.

Exhibit 4: Apple raised device prices 15-30% across Mac, iPad and Accessories on June 25th, 2026.

Product family	Starting Price on 6/24/26	Starting Price on 6/25/26	Change	% of Change
MacBook Neo	\$599	\$699	\$100	17%
MacBook Air	\$1,099	\$1,299	\$200	18%
14-inch MacBook Pro	\$1,699	\$1,999	\$300	18%
Mac mini (M4 Pro)	\$1,399	\$1,599	\$200	14%
iPad (2025)	\$349	\$449	\$100	29%
iPad Air	\$599	\$749	\$150	25%
iPad Pro	\$999	\$1,199	\$200	20%
Mac Studio (M4 Max)	\$1,999	\$2,499	\$500	25%
Mac Studio (Ultra)	\$3,999	\$5,299	\$1,300	33%
HomePod	\$299	\$349	\$50	17%
HomePod mini	\$99	\$129	\$30	30%
Apple TV	\$129	\$199	\$70	54%
Vision Pro	\$3,499	\$3,699	\$200	6%
iPhone	No change	No change	\$0	NA
Apple Watch	No change	No change	\$0	NA
AirPods	No change	No change	\$0	NA

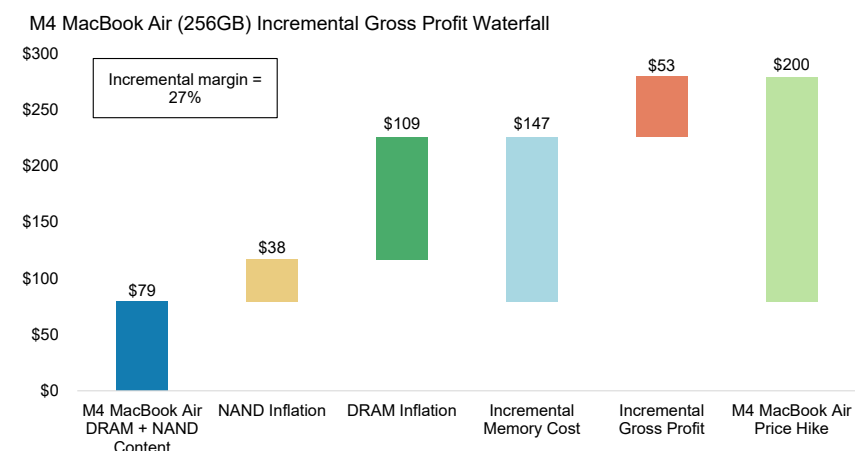
Source: Apple.com, Morgan Stanley Research

Exhibit 5: We estimate that a \$100 like-for-like pricing increase for iPad (2025) implies a 40% incremental gross margin, higher than our mid-20% assumptions for iPad.



Source: Company data, IDC, Morgan Stanley Research estimates

Exhibit 6: We estimate that a \$200 like-for-like pricing increase for M4 MacBook Air implies a 27% incremental gross margin, largely in-line with our assumptions for Mac.

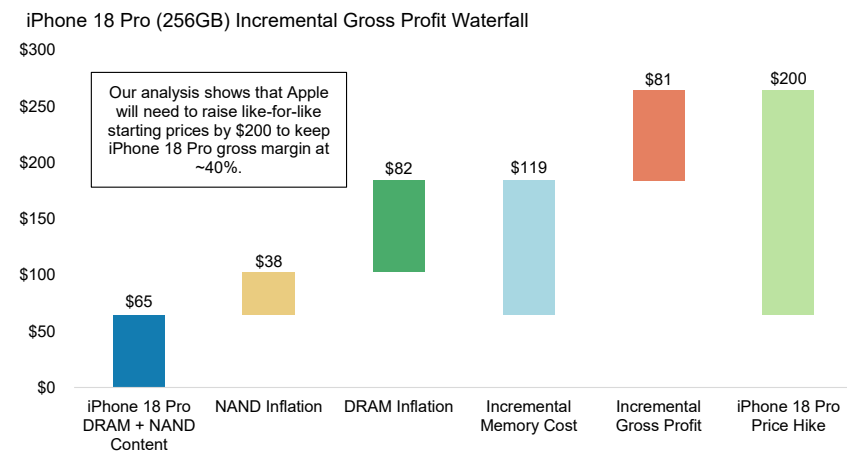


Source: Company data, IDC, Morgan Stanley Research estimates

Given these factors, what becomes the implication for iPhone 18 pricing vs. our current base case? iPhone pricing remains one of the most heavily debated topics in our investor conversations – particularly after Apple's non-iPhone pricing increases two weeks ago, which shifted the debate from "whether Apple will raise prices" to "how much will Apple raise prices?". Incorporating both demand elasticity and Apple's apparent willingness – as evidenced by its recent non-iPhone pricing actions – to preserve gross margins through pricing, we now believe a \$200 like-for-like starting price increase, particularly for the Pro models, is more likely than the \$100 increase currently embedded in our model. For the iPhone, we estimate per unit memory costs will be \$140-160 higher Y/Y in FY27. Assuming no change in model mix, a \$200 like-for-like price increase would imply an incremental margin of about 30%, below the iPhone's T3Y average gross margin of 41%. On the surface, this suggests some gross margin pressure is possible in C2H26 (and have modeled it as such).

However, we see three important potential offsets – (1) premium model mix should be higher in C2H26, as the lower-priced iPhone 18 base model, iPhone Air 2, and iPhone 18e are not expected to launch until spring 2027; (2) we expect the foldable iPhone to be margin accretive and provide an additional margin tailwind beginning in C4Q26; (3) lower-priced iPhone models are also likely to be re-priced around late C1Q27 alongside the anticipated spring product iPhone launch cycle. As a result, while underlying component costs are rising meaningfully, we believe Apple could keep iPhone margins broadly stable through FY27, barring another significant step-up in memory pricing during CY27. Again, taking iPhone 18 Pro (256GB) as an example, a \$200 like-for-like pricing increase would indicate an incremental gross margin of ~40%, largely in line with the overall iPhone gross margin profile ([Exhibit 7](#)). This also implies that the incremental margin would fall below 40% level for higher storage SKU models if Apple ends up raising prices by \$200 across all iPhone 18 Pro storage SKUs.

Exhibit 7: To protect iPhone gross margins, we estimate that Apple will need to raise iPhone 18 Pro starting price by \$200.



Source: Company data, Morgan Stanley Research estimates

Finally, what does all of this mean for September-quarter guidance and FY27 earnings power, all else equal? While we are not changing our model today, we see upside risk to our current forecasts driven by higher revenue, relatively stable margins, and therefore, higher EPS. To be fair, the memory cost assumptions embedded in our current gross margin outlook may prove too conservative, with some third-party research firms suggesting memory costs for iPhone 18 Pro could be as much as 4x those of iPhone 17 Pro (we assume ~3x). As a result, even with higher device pricing, incorporating a steeper memory cost trajectory would not necessarily lead to higher gross margin estimates. That said, the outlook is relatively straightforward for non-iPhone products. Apple has already implemented like-for-like price increases across portions of its product portfolio in late C2Q26, and assuming no significant shift in model mix, non-iPhone Products gross margins should remain broadly stable into FY27. For the September quarter specifically, Apple will begin absorbing higher component costs before meaningful iPhone 18 Pro and Pro Max shipments commence. However, given the lagged recognition of rising inventory costs, we believe a \$200 starting price increase should still be margin accretive during the launch quarter, when inventory costs have yet to fully reflect elevated memory pricing. Combined with a Y/Y richer mix of premium models – including the new Foldable iPhone – we believe Apple can work towards a stable Products gross-margin profile in FY27. Based on these factors, we estimate there could be 2-4% upside to our current C3Q26 EPS and ~1% upside to our current FY27 base-case EPS forecast of \$10.30, all else being equal ([Exhibit 8](#)).

Exhibit 8: We expect pricing increases to add 1% of FY27 earnings power for Apple

	MS FY27 Base Case	"Low Case"	"High Case"
Assumptions			
Demand Elasticity			
iPhone		0.5	0.2
Mac		0.8	0.8
iPad		1.0	1.0
Like-for-like Price Hike (\$)			
iPhone		\$200	\$200
Mac		\$200	\$250
iPad		\$100	\$150
Financial Impact			
Shipments (M Units)			
iPhone	268	265	267
Mac	33	29	28
iPad	56	46	41
Average Selling Price (\$)			
iPhone	\$1,152	\$1,179	\$1,179
Mac	\$1,169	\$1,369	\$1,420
iPad	\$569	\$669	\$719
Revenue (\$B)*			
iPhone	\$309	\$312	\$314
Mac	\$39	\$39	\$39
iPad	\$32	\$31	\$30
Apple FY27 EPS	\$10.30	\$10.38	\$10.42
vs. Base Case		0.8%	1.1%

Source: IDC, Morgan Stanley Research estimates

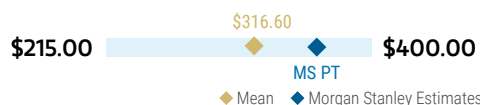
Risk Reward – Apple, Inc. (AAPL.O)

More Near-Term Cost Uncertainties Before a Catalyst-Laden 2H

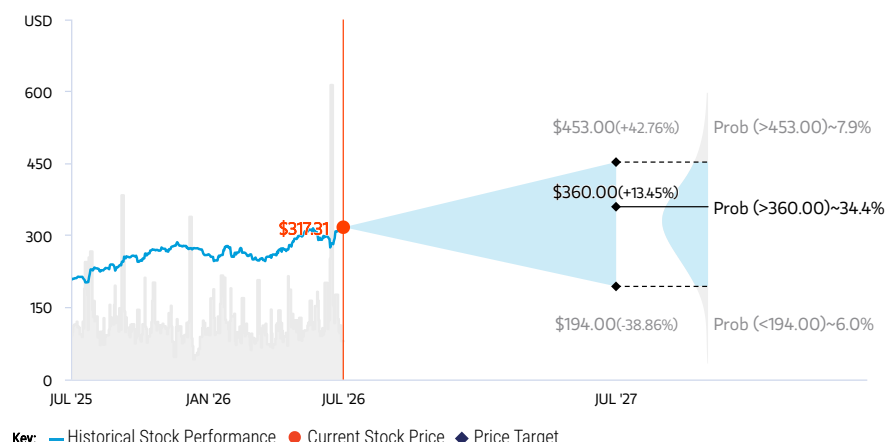
PRICE TARGET \$360.00

Our \$360 PT is based on a 9.1x EV/Sales FY27 multiple, which is derived from a regression of tech and consumer platform peers. Our price target implies ~35x P/E on \$10.30 FY27 EPS.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

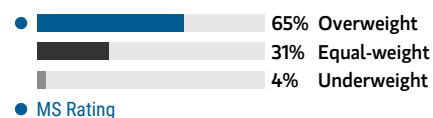


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 13 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

With the most elongated iPhone replacement cycles, new AI features rolling out around the world, and a renewed focus on device form factor changes, we believe Apple can accelerate iPhone growth starting in FY26, with replacement cycles peaking as aged installed base starts to upgrade. When combined with consistent, double digit services growth and moderate operating leverage, we believe Apple can earn \$8.89 in FY26 and \$10.30 by FY27. Memory cost dynamic could create uncertainties in the near term. Longer-term, investments in AI, payments, cloud, health, and home, and long runway to grow spend per user from \$1/day today are key arguments for sustained long-term growth and value creation.

Consensus Rating Distribution



Risk Reward Themes

Disruption: *Positive*
New Data Era: *Positive*
Pricing Power: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$453.00

11x EV/Sales FY27; ~41x Bull FY27 P/E of \$11.02

iPhone replacement cycles accelerate in FY26/FY27 with Robotics as a long-term upside. Consumer demand returns, and stronger than expected iPhone 17 upgrade intentions + mix shift to higher end iPhones drives mid-teens Y/Y iPhone revenue growth, while rising component costs are mitigated given Apple's bargaining power against consumers and the supply chain. Our bull case valuation implies a 41.1x P/E multiple on FY27 Bull EPS, which embeds \$22 per share of upside from its Robotics efforts.

BASE CASE

\$360.00

9.1x EV/Sales FY27 or ~35x FY27 EPS of \$10.30

Services and margins remain resilient, while investors start to expect stronger iPhone cycles ahead. Revenue grows 15% Y/Y in FY27, driven by 10%+ Services growth and mid-teens % Products growth. GM may contract Y/Y in FY27 driven by higher Product revenue mix and memory costs, while Apple leverages the supply chain and repricing to mitigate the cost impact. The iPhone replacement cycle is peaking and creates pent up demand for upgrades in FY27.

BEAR CASE

\$194.00

6.3x EV/Sales FY27; 24.6x FY27 Bear EPS of \$7.89

iPhone 17 cycle disappoints as consumer spending weakens more than expected amidst synthetic price increases. Growth slows further across the portfolio as discretionary income is pressured by hard landing, leading to just LSD of Product rev growth and decelerating Services rev growth in FY26. With revenue slightly growing but margin contracting, FY26 EPS will only grow MSD to ~\$7.36. Our bear case valuation implies a 24.6x FY27 P/E, below T5Y avg of 26.0x due to plateauing Services profit mix.

Risk Reward – Apple, Inc. (AAPL.O)

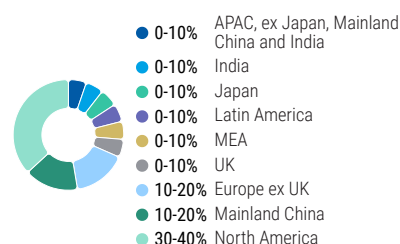
KEY EARNINGS INPUTS

Drivers	Sep 2025	Sep 2026e	Sep 2027e	Sep 2028e
Total Revenue Growth (Y/Y) (%)	6.4	16.6	14.9	5.8
iPhone Revenue Growth (Y/Y) (%)	4.2	23.6	19.1	4.2
Services Revenue Growth (Y/Y) (%)	13.5	14.0	12.1	11.3
Gross Margin (%)	46.9	48.0	47.5	48.0
EPS Growth (Y/Y) (%)	10.6	19.1	15.9	7.5

INVESTMENT DRIVERS

- Positive iPhone build revisions / clearer signs of accelerating replacement cycles
- Services revenue growth reacceleration
- Apple Intelligence feature and distribution expansion
- New product launches in home, health and AI

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- iPhone 17 outperforms expectations
- Apple Intelligence adoption surprises to the upside
- Apple pulls forward form factor changes
- Services growth re-accelerates despite tougher compares
- Gross margins surprise positively

RISKS TO DOWNSIDE

- Weak consumer spending limits iPhone upgrade rates
- Higher memory input costs
- Limited progress on AI features
- Geopolitical tensions
- Increased regulation, particularly with App Store

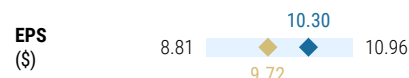
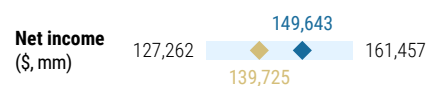
OWNERSHIP POSITIONING

Inst. Owners, % Active	47.5%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Apple (AAPL) Financial Model

Exhibit 9: Apple Income Statement

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Revenues	124,300	95,359	94,036	102,466	143,756	111,184	108,771	121,635	150,274	134,142	135,287	137,802	391,035	416,161	485,346	557,504	589,797
iPhone	69,138	46,841	44,582	49,025	85,269	56,994	54,207	62,581	85,657	75,145	74,791	72,997	201,183	209,586	259,051	308,590	321,555
iPad	8,088	6,402	6,581	6,952	8,595	6,914	6,848	7,892	9,223	7,106	7,444	8,043	26,694	28,023	30,249	31,816	32,191
Mac	8,987	7,949	8,046	8,726	8,386	8,399	8,839	9,702	9,529	9,304	9,293	10,500	29,984	33,708	35,326	38,626	39,575
Wearables, Home and Accessories	11,747	7,522	7,404	9,013	11,493	7,901	7,796	9,106	12,227	8,381	8,454	9,952	37,005	35,686	36,296	39,014	41,258
Services	26,340	26,645	27,423	28,750	30,013	30,976	31,081	32,354	33,639	34,205	35,305	36,309	96,169	109,158	124,423	139,458	155,218
Cost of Sales	66,025	50,492	50,318	54,125	74,525	56,403	56,503	64,734	79,353	69,530	71,170	72,523	210,352	220,960	252,165	292,576	306,582
Gross Profit	58,275	44,867	43,718	48,341	69,231	54,781	52,268	56,901	70,921	64,612	64,117	65,279	180,683	195,201	233,181	264,928	283,215
<i>Gross Margin</i>	<i>46.9%</i>	<i>47.1%</i>	<i>46.5%</i>	<i>47.2%</i>	<i>48.2%</i>	<i>49.3%</i>	<i>48.1%</i>	<i>46.8%</i>	<i>47.2%</i>	<i>48.2%</i>	<i>47.4%</i>	<i>47.4%</i>	<i>46.2%</i>	<i>46.9%</i>	<i>48.0%</i>	<i>47.5%</i>	<i>48.0%</i>
Operating Expenses	15,443	15,278	15,516	15,914	18,379	18,896	19,089	19,644	21,309	21,597	21,943	22,531	57,467	62,151	76,008	87,380	93,987
Research and Development	8,268	8,550	8,866	8,866	10,887	11,419	11,802	12,164	13,209	13,750	14,300	14,607	31,370	34,550	46,271	55,865	61,193
Selling, General and Administrative	7,175	6,728	6,650	7,048	7,492	7,477	7,288	7,481	8,100	7,847	7,644	7,924	26,097	27,601	29,737	31,514	32,795
Operating Income	42,832	29,589	28,202	32,427	50,852	35,885	33,179	37,257	49,612	43,015	42,173	42,748	123,216	133,050	157,173	177,549	189,228
<i>PTOP Margin</i>	<i>34.5%</i>	<i>31.0%</i>	<i>30.0%</i>	<i>31.6%</i>	<i>35.4%</i>	<i>32.3%</i>	<i>30.5%</i>	<i>30.6%</i>	<i>33.0%</i>	<i>32.1%</i>	<i>31.2%</i>	<i>31.0%</i>	<i>31.5%</i>	<i>32.0%</i>	<i>32.4%</i>	<i>31.8%</i>	<i>32.1%</i>
Total Interest & Other Income	(248)	(279)	(171)	377	150	(52)	251	156	124	136	159	180	269	(321)	504	598	278
Pretax Income	42,584	29,310	28,031	32,804	51,002	35,833	33,430	37,413	49,736	43,151	42,332	42,928	123,485	132,729	157,677	178,146	189,506
GAAP Income Tax Provision	6,254	4,530	4,597	5,338	8,905	6,255	5,683	5,986	7,958	6,904	6,773	6,869	29,749	20,719	26,829	28,503	30,321
Operating Tax Provision (excl one time tax eff)	6,254	4,530	4,597	5,338	8,905	6,255	5,683	5,986	7,958	6,904	6,773	6,869	19,503	20,719	26,829	28,503	30,321
<i>Effective Tax Rate</i>	<i>14.7%</i>	<i>15.5%</i>	<i>16.4%</i>	<i>16.3%</i>	<i>17.5%</i>	<i>17.5%</i>	<i>17.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>15.8%</i>	<i>15.6%</i>	<i>17.0%</i>	<i>16.0%</i>	<i>16.0%</i>
Operating Net Income	36,330	24,780	23,434	27,466	42,097	29,578	27,747	31,427	41,778	36,246	35,559	36,060	103,982	112,010	130,848	149,643	159,185
<i>Operating Net Income Margin</i>	<i>29.2%</i>	<i>26.0%</i>	<i>24.9%</i>	<i>26.8%</i>	<i>29.3%</i>	<i>26.6%</i>	<i>25.5%</i>	<i>25.8%</i>	<i>27.8%</i>	<i>27.0%</i>	<i>26.3%</i>	<i>26.2%</i>	<i>26.6%</i>	<i>26.9%</i>	<i>27.0%</i>	<i>26.8%</i>	<i>27.0%</i>
Total Non-recurring Charges	-	-	-	-	-	-	-	-	-	-	-	-	(10,246)	-	-	-	-
GAAP Net Income	36,330	24,780	23,434	27,466	42,097	29,578	27,747	31,427	41,778	36,246	35,559	36,060	93,736	112,010	130,848	149,643	159,185
Fully-diluted EPS																	
EPS - ModelWare	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$1.89	\$2.15	\$2.86	\$2.49	\$2.45	\$2.49	\$6.75	\$7.46	\$8.89	\$10.30	\$11.07
EPS - Reported	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$1.89	\$2.15	\$2.86	\$2.49	\$2.45	\$2.49	\$6.08	\$7.46	\$8.89	\$10.30	\$11.07
EPS - ModelWare excl. Stock Option Expe	\$2.61	\$1.86	\$1.78	\$2.06	\$3.09	\$2.25	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Dividend Payment	3,856	3,758	3,945	3,862	3,921	3,822	4,057	3,981	4,043	3,952	4,208	4,131	15,234	15,421	15,780	16,334	16,974
Dividend Per Share	\$0.25	\$0.25	\$0.26	\$0.26	\$0.26	\$0.26	\$0.28	\$0.27	\$0.28	\$0.27	\$0.29	\$0.29	\$0.99	\$1.03	\$1.08	\$1.13	\$1.18
Period Ending Outstanding Shares	15,040.7	14,939.3	14,856.7	14,773.3	14,702.7	14,667.7	14,613.0	14,567.5	14,523.7	14,481.4	14,440.7	14,401.5	15,116.8	14,773.3	14,567.5	14,401.5	14,268.8
Avg Shares (Basic)	15,081.7	14,994.1	14,902.9	14,815.3	14,748.2	14,673.3	14,640.3	14,590.2	14,545.6	14,502.5	14,461.1	14,421.1	15,343.8	14,948.5	14,663.0	14,482.6	14,332.7
Avg Shares (Fully Diluted)	15,150.9	15,056.1	14,948.2	14,863.6	14,810.4	14,725.9	14,692.9	14,642.8	14,587.6	14,544.5	14,503.1	14,463.1	15,408.1	15,004.7	14,718.0	14,524.6	14,374.7

Source: Company data, Morgan Stanley Research estimates

Exhibit 10: Apple Income Statement Analysis

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Margin Analysis																	
Gross Margin	46.9%	47.1%	46.5%	47.2%	48.2%	49.3%	48.1%	46.8%	47.2%	48.2%	47.4%	47.4%	46.2%	46.9%	48.0%	47.5%	48.0%
Product	39.3%	35.9%	34.5%	36.2%	40.7%	38.7%	36.7%	36.1%	38.5%	38.1%	36.8%	36.7%	37.2%	36.8%	38.2%	37.6%	37.4%
iPhone	42.8%	39.3%	37.4%	40.0%	44.5%	43.0%	41.0%	40.0%	42.5%	41.8%	40.0%	40.3%	40.6%	40.2%	42.4%	41.2%	40.5%
iPad	29.7%	27.5%	26.8%	26.8%	28.0%	28.0%	25.5%	26.0%	27.0%	26.0%	27.0%	27.0%	28.6%	27.8%	26.9%	26.8%	27.7%
Mac	32.3%	28.5%	30.0%	30.0%	31.0%	28.0%	26.0%	26.0%	27.0%	26.8%	26.8%	27.1%	30.3%	30.3%	27.7%	26.9%	28.6%
Wearables, Home and Accessories	30.8%	29.9%	28.9%	28.9%	28.8%	28.3%	28.5%	29.0%	28.5%	28.5%	28.5%	29.0%	30.6%	29.7%	28.7%	28.6%	29.0%
Services	75.0%	75.7%	75.6%	75.3%	76.5%	76.7%	76.5%	76.2%	77.2%	77.5%	77.3%	77.1%	73.9%	75.4%	76.5%	77.3%	77.8%
R&D	6.7%	9.0%	9.4%	8.7%	7.6%	10.3%	10.9%	10.0%	8.8%	10.3%	10.6%	10.6%	8.0%	8.3%	9.5%	10.0%	10.4%
SG&A	5.8%	7.1%	7.1%	6.9%	5.2%	6.7%	6.7%	6.2%	5.4%	5.9%	5.7%	5.8%	6.7%	6.6%	6.1%	5.7%	5.6%
Operating Expenses	12.4%	16.0%	16.5%	15.5%	12.8%	17.0%	17.6%	16.2%	14.2%	16.1%	16.2%	16.4%	14.7%	14.9%	15.7%	15.7%	15.9%
EBITDA Margin	36.9%	33.8%	33.0%	34.7%	37.6%	35.4%	33.9%	33.6%	35.5%	34.8%	33.9%	33.8%	34.4%	34.8%	35.3%	34.5%	34.8%
PTOP Margin	34.5%	31.0%	30.0%	31.6%	35.4%	32.3%	30.5%	30.6%	33.0%	32.1%	31.2%	31.0%	31.5%	32.0%	32.4%	31.8%	32.1%
Pretax Margin	34.3%	30.7%	29.8%	32.0%	35.5%	32.2%	30.7%	30.8%	33.1%	32.2%	31.3%	31.2%	31.6%	31.9%	32.5%	32.0%	32.1%
Net Income	29.2%	26.0%	24.9%	26.8%	29.3%	26.6%	25.5%	25.8%	27.8%	27.0%	26.3%	26.2%	26.6%	26.9%	27.0%	26.8%	27.0%
Year-Over-Year Growth (%)																	
Revenue	4%	5%	10%	8%	16%	17%	16%	19%	5%	21%	24%	13%	2%	6%	17%	15%	6%
iPhone	-1%	2%	13%	6%	23%	22%	22%	28%	0%	32%	38%	17%	0%	4%	24%	19%	4%
iPad	15%	15%	-8%	0%	6%	8%	4%	14%	7%	3%	9%	2%	-6%	5%	8%	5%	1%
Mac	16%	7%	15%	13%	-7%	6%	10%	11%	14%	11%	5%	8%	2%	12%	5%	9%	2%
Wearables, Home and Accessories	-2%	-5%	-9%	0%	-2%	5%	5%	1%	6%	6%	8%	9%	-7%	-4%	2%	7%	6%
Services	14%	12%	13%	15%	14%	16%	13%	13%	12%	10%	14%	12%	13%	14%	14%	12%	11%
Gross Margin	6%	6%	10%	10%	19%	22%	20%	18%	2%	18%	23%	15%	7%	8%	19%	14%	7%
iPhone	0%	0%	10%	7%	28%	33%	33%	28%	-4%	28%	35%	17%	1%	3%	30%	16%	2%
iPad	14%	13%	-12%	-5%	0%	10%	-1%	10%	3%	-5%	15%	6%	-3%	2%	5%	5%	5%
Mac	17%	4%	15%	13%	-10%	4%	-5%	-4%	-1%	6%	8%	13%	5%	12%	-4%	6%	9%
Wearables, Home and Accessories	-5%	-4%	-12%	-4%	-8%	-1%	4%	1%	5%	7%	8%	9%	-5%	-6%	-2%	7%	7%
Services	17%	13%	16%	17%	16%	18%	15%	14%	13%	12%	15%	14%	18%	16%	16%	13%	12%
R&D	7%	8%	11%	14%	32%	34%	33%	37%	21%	20%	21%	20%	5%	10%	34%	21%	10%
SG&A	6%	4%	5%	8%	4%	11%	10%	6%	8%	5%	6%	6%	5%	6%	8%	6%	4%
Operating Expenses	7%	6%	8%	11%	19%	24%	23%	23%	16%	14%	15%	15%	5%	8%	22%	15%	8%
PTOP Margin	6%	6%	11%	10%	19%	21%	18%	15%	-2%	20%	27%	15%	8%	8%	18%	13%	7%
Pretax Margin	6%	4%	10%	11%	20%	22%	19%	14%	-2%	20%	27%	15%	9%	7%	19%	13%	6%
Net Income	7%	5%	9%	10%	16%	19%	18%	14%	-1%	23%	28%	15%	7%	8%	17%	14%	6%
ModelWare EPS	10%	8%	12%	13%	19%	22%	20%	16%	1%	24%	30%	16%	10%	11%	19%	16%	7%
Sequential Growth (%)																	
Revenue	31%	-23%	-1%	9%	40%	-23%	-2%	12%	24%	-11%	1%	2%					
iPhone	50%	-32%	-5%	10%	74%	-33%	-5%	15%	37%	-12%	0%	-2%					
iPad	16%	-21%	3%	6%	24%	-20%	-1%	15%	17%	-23%	5%	8%					
Mac	16%	-12%	1%	8%	-4%	0%	5%	10%	-2%	-2%	0%	13%					
Wearables, Home and Accessories	30%	-36%	-2%	22%	28%	-31%	-1%	17%	34%	-31%	1%	18%					
Services	5%	1%	3%	5%	4%	3%	0%	4%	4%	2%	3%	3%					
Gross Margin	33%	-23%	-3%	11%	43%	-21%	-5%	9%	25%	-9%	-1%	2%					
iPhone	61%	-38%	-9%	18%	93%	-35%	-9%	13%	45%	-14%	-5%	-2%					
iPad	23%	-27%	0%	6%	29%	-20%	-10%	18%	21%	-26%	9%	8%					
Mac	25%	-22%	7%	8%	-1%	-10%	-2%	10%	2%	-3%	0%	14%					
Wearables, Home and Accessories	33%	-38%	-5%	22%	27%	-33%	-1%	19%	32%	-31%	1%	20%					
Services	7%	2%	3%	4%	6%	3%	0%	4%	5%	2%	3%	3%					
R&D	6%	3%	4%	0%	23%	5%	3%	3%	9%	4%	4%	2%					
SG&A	10%	-6%	-1%	6%	6%	0%	-3%	3%	8%	-3%	-3%	4%					
Operating Expenses	8%	-1%	2%	3%	15%	3%	1%	3%	8%	1%	2%	3%					
PTOP Margin	45%	-31%	-5%	15%	57%	-29%	-8%	12%	33%	-13%	-2%	1%					
Pretax Margin	44%	-31%	-4%	17%	55%	-30%	-7%	12%	33%	-13%	-2%	1%					
Net Income	45%	-32%	-5%	17%	53%	-30%	-6%	13%	33%	-13%	-2%	1%					
ModelWare EPS	46%	-31%	-5%	18%	54%	-29%	-6%	14%	33%	-13%	-2%	2%					
Revenue Mix																	
iPhone	56%	49%	47%	48%	59%	51%	50%	51%	57%	56%	55%	53%	51%	50%	53%	55%	55%
iPad	7%	7%	7%	7%	6%	6%	6%	6%	6%	5%	6%	6%	7%	7%	6%	6%	5%
Mac	7%	8%	9%	9%	6%	8%	8%	8%	6%	7%	7%	8%	8%	8%	7%	7%	7%
Wearables, Home and Accessories	9%	8%	8%	9%	8%	7%	7%	7%	8%	6%	6%	7%	9%	9%	7%	7%	7%
Services	21%	28%	29%	28%	21%	28%	29%	27%	22%	25%	26%	26%	25%	26%	26%	25%	26%

Source: Company data, Morgan Stanley Research estimates

Exhibit 11: Apple Balance Sheet

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Assets																	
Current Assets:																	
Cash and cash equivalents	30,299	28,162	36,269	35,934	45,317	45,572	57,332	64,895	76,842	100,026	121,318	123,499	29,943	35,934	64,895	123,499	169,821
Short-term investments	111,069	104,760	96,717	96,486	99,478	101,023	101,023	101,023	101,023	101,023	101,023	101,023	126,707	96,486	101,023	101,023	101,023
Accounts receivable	29,639	26,136	27,557	39,777	39,921	30,339	35,859	46,274	35,935	37,262	41,627	47,931	33,410	39,777	46,274	47,931	39,433
Inventories	6,911	6,269	5,925	5,718	5,875	6,747	6,830	8,444	8,625	8,498	8,603	9,459	7,286	5,718	8,444	9,459	7,937
Deferred tax assets	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546
Other current assets	37,369	32,225	28,091	42,219	39,855	32,975	30,045	44,642	42,634	34,829	31,664	47,429	41,574	42,219	44,642	47,429	51,192
Total Current Assets	220,833	203,098	200,105	225,680	235,992	222,202	236,635	270,824	270,605	287,184	309,781	334,888	244,466	225,680	270,824	334,888	374,951
Property, Plant & Equipment, net	46,069	46,876	48,508	49,834	50,159	50,116	49,412	48,770	48,371	47,965	47,969	48,267	45,680	49,834	48,770	48,267	52,257
Acquired Intangible Assets	29,043	30,577	31,188	31,506	35,050	37,164	36,502	35,884	35,307	34,768	34,265	33,796	28,160	31,506	35,884	33,796	32,045
Other assets	48,140	50,682	51,694	52,221	58,096	61,600	56,863	57,443	63,905	67,760	62,550	63,188	46,674	52,221	57,443	63,188	69,506
Non-current debt and equity investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Fixed Assets	123,252	128,135	131,390	133,561	143,305	148,880	142,777	142,097	147,583	150,493	144,784	145,250	120,514	133,561	142,097	145,250	153,808
Total Assets	344,085	331,233	331,495	359,241	379,297	371,082	379,412	412,920	418,189	437,676	454,565	480,138	364,980	359,241	412,920	480,138	528,759
Liabilities																	
Current Liabilities:																	
Accounts payable	61,910	54,126	50,374	69,860	70,587	57,349	57,745	80,917	69,003	73,393	71,952	90,653	68,960	69,860	80,917	90,653	83,337
Accrued expenses	69,612	70,825	71,478	75,442	77,956	66,985	75,060	79,416	80,272	84,120	92,056	88,842	86,553	75,442	79,416	88,842	88,564
Current Debt	12,843	19,620	19,268	20,329	13,824	10,307	10,307	10,307	10,307	10,307	10,307	10,307	20,879	20,329	10,307	10,307	10,307
Other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	144,365	144,571	141,120	165,631	162,367	134,641	143,111	170,641	159,582	167,820	174,315	189,802	176,392	165,631	170,641	189,802	182,208
Non-Current Liabilities																	
Long-term debt	83,956	78,566	82,430	78,328	76,685	74,404	74,404	74,404	74,404	74,404	74,404	74,404	85,750	78,328	74,404	74,404	74,404
Deferred revenue - non-current	3,199	2,747	2,851	2,731	3,457	3,772	3,213	3,017	2,945	3,235	3,612	3,103	2,960	2,731	3,017	3,103	3,027
Deferred tax liabilities	44,957	37,703	38,414	37,968	47,748	50,924	50,924	50,924	50,924	50,924	50,924	50,924	42,078	37,968	50,924	50,924	50,924
Other non-current liabilities	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850
Total Non-Current Liabilities	132,962	119,866	124,545	119,877	128,740	129,950	129,391	129,194	129,123	129,413	129,790	129,280	131,638	119,877	129,194	129,280	129,205
Total Liabilities	277,327	264,437	265,665	285,508	291,107	264,591	272,503	299,835	288,705	297,233	304,105	319,083	308,030	285,508	299,835	319,083	311,413
Series A preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Shareholder's Equity	66,758	66,796	65,830	73,733	88,190	106,491	106,909	113,085	129,484	140,443	150,460	161,056	56,950	73,733	113,085	161,056	217,345
Total Liabilities and Shareholder's Equity	344,085	331,233	331,495	359,241	379,297	371,082	379,412	412,920	418,189	437,676	454,565	480,138	364,980	359,241	412,920	480,138	528,759

Source: Company data, Morgan Stanley Research estimates

Exhibit 12: Apple Statement of Cash Flows

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net Income / (Loss)	36,330	24,780	23,434	27,466	42,097	29,578	27,747	31,427	41,778	36,246	35,559	36,060	93,736	112,010	130,848	149,643	159,185
Cumulative effect of accounting change	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Adjustments to reconcile net income:	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation & Amortization	3,080	2,661	2,830	3,127	3,214	3,439	3,645	3,646	3,673	3,696	3,726	3,761	11,445	11,698	13,943	14,856	15,827
Stock based compensation expense	3,286	3,226	3,168	3,183	3,594	3,528	-	-	-	-	-	-	11,688	12,863	7,122	-	-
Provision for (benefit from) deferred income taxes	(2,009)	(208)	469	1,659	(528)	(1,189)	-	-	-	-	-	-	(2,266)	(89)	(1,717)	-	-
Gain on non-current investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain on short-term investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Unrealized loss on conv. securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash restructuring	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
In-Process R&D	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Tax benefit from ESO	-	-	-	-	-	-	699	699	633	633	633	633	-	-	1,398	2,532	1,937
Changes in Operating Assets and Liabilities:																	
Accounts receivable	3,597	3,669	(1,581)	(12,367)	(153)	9,448	(5,520)	(10,416)	10,339	(1,327)	(4,365)	(6,304)	(3,788)	(6,682)	(6,640)	(1,657)	8,498
Inventories	215	643	365	177	(211)	(873)	(83)	(1,614)	(182)	127	(105)	(856)	(1,046)	1,400	(2,781)	(1,016)	1,523
Other current assets	3,166	6,005	4,384	(13,902)	2,781	7,227	2,930	(14,597)	2,008	7,805	3,165	(15,765)	(11,731)	(347)	(1,659)	(2,787)	(3,763)
Other assets	939	(5,310)	(1,745)	(3,081)	(10,250)	(4,079)	4,736	(580)	(6,462)	(3,854)	5,210	(638)	(1,356)	(9,197)	(10,172)	(5,744)	(6,319)
Accounts payable	(6,671)	(7,933)	(3,875)	19,381	848	(13,145)	396	23,173	(11,915)	4,390	(1,441)	18,701	6,020	902	11,271	9,736	(7,316)
Deferred revenue	-	-	-	-	-	-	(559)	(197)	(72)	290	377	(510)	-	-	(756)	86	(75)
Accrued restructuring costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	(11,998)	(3,581)	418	4,085	12,533	(5,232)	8,075	4,357	856	3,848	7,935	(3,214)	15,552	(11,076)	19,732	9,426	(278)
Deferred tax liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Operating Activities	29,935	23,952	27,867	29,728	53,925	28,702	42,066	35,898	40,657	51,856	50,694	31,868	118,254	111,482	160,590	175,074	169,219
Investing activities:																	
Purchase of short-term investments	(6,124)	(6,318)	(5,149)	(6,816)	(12,693)	(19,739)	-	-	-	-	-	-	(48,656)	(24,407)	(32,432)	-	-
Proceeds from maturities of short-term investments	15,967	10,620	8,449	5,871	7,510	11,181	-	-	-	-	-	-	51,211	40,907	18,691	-	-
Proceeds from sales of short-term investments	3,492	1,718	5,575	2,105	2,824	5,791	-	-	-	-	-	-	11,135	12,890	8,615	-	-
Purchases of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Proceeds from sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of PP&E	(2,940)	(3,071)	(3,462)	(3,242)	(2,373)	(1,971)	(2,279)	(2,385)	(2,698)	(2,751)	(3,227)	(3,589)	(9,447)	(12,715)	(9,008)	(12,265)	(18,066)
Cash paid for acquisition of technology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of ARM shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	(603)	(32)	(340)	(505)	(154)	(1,430)	-	-	-	-	-	-	(1,308)	(1,480)	(1,584)	-	-
Net cash used in investing activities	9,792	2,917	5,073	(2,587)	(4,886)	(6,168)	(2,279)	(2,385)	(2,698)	(2,751)	(3,227)	(3,589)	2,935	15,195	(15,718)	(12,265)	(18,066)
Financing activities:																	
Proceeds from issuance of common stock	-	-	-	-	-	-	30	31	31	32	33	34	-	-	61	130	141
Excess tax benefits from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Taxes paid related to net share settlement	(2,921)	(284)	(2,514)	(241)	(2,922)	(330)	-	-	-	-	-	-	(5,441)	(5,960)	(3,252)	-	-
Dividends and dividend equivalent rights paid	(3,856)	(3,758)	(3,945)	(3,862)	(3,921)	(3,822)	(4,057)	(3,981)	(4,043)	(3,952)	(4,208)	(4,131)	(15,234)	(15,421)	(15,780)	(16,334)	(16,974)
Repurchase of common stock	(23,606)	(25,898)	(21,075)	(20,132)	(24,701)	(12,288)	(24,000)	(22,000)	(22,000)	(22,000)	(22,000)	(22,000)	(94,949)	(90,711)	(82,989)	(88,000)	(88,000)
Increase (decrease) in long-term borrowing	(1,009)	1,009	4,481	-	(2,164)	2,164	-	-	-	-	-	-	-	4,481	-	-	-
Increase (decrease) in notes payable to banks	(7,979)	(75)	(1,780)	(3,241)	(5,948)	(8,003)	-	-	-	-	-	-	(6,359)	(13,075)	(13,951)	-	-
Net Cash used in Financing Activities	(39,371)	(29,006)	(24,833)	(27,476)	(39,656)	(22,279)	(28,027)	(25,950)	(26,012)	(25,920)	(26,175)	(26,098)	(121,983)	(120,686)	(115,912)	(104,204)	(104,832)
Increase/(decrease) in Cash and Cash Equivalents	356	(2,137)	8,107	(335)	9,383	255	11,760	7,563	11,947	23,184	21,291	2,182	(794)	5,991	28,961	58,604	46,321
Adjustments for restatements	-	-	-	-	-	-	-	-	-	-	-	-	772	-	-	-	-
Cash and Cash Equivalents at Beginning of Period	29,943	30,299	28,162	36,269	35,934	45,317	45,572	57,332	64,895	76,842	100,026	121,318	29,965	29,943	35,934	64,895	123,499
Cash and Cash Equivalents at End of Period	30,299	28,162	36,269	35,934	45,317	45,572	57,332	64,895	76,842	100,026	121,318	123,499	29,943	35,934	64,895	123,499	169,821

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Apple, Inc. (AAPL.O) - As of 07/13/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 7/1/21 : 0/I; 10/5/21 : 0/C; 1/18/23 : 0/I; 1/20/26 : 0/C

Price Target History: 6/23/21 : 162; 7/14/21 : 166; 7/27/21 : 168; 10/26/21 : 166; 10/28/21 : 164; 12/7/21 : 200; 1/27/22 : 210; 4/28/22 : 195; 6/14/22 : 185; 7/19/22 : 180; 10/17/22 : 177; 11/7/22 : 175; 3/3/23 : 180; 5/4/23 : 185; 6/1/23 : 190; 7/16/23 : 220; 8/3/23 : 215; 10/15/23 : 210; 12/7/23 : 220; 4/22/24 : 210; 5/3/24 : 216; 7/14/24 : 273; 1/31/25 : 275; 3/12/25 : 252; 4/8/25 : 220; 4/28/25 : 235; 7/31/25 : 240; 10/1/25 : 298; 10/31/25 : 305; 12/17/25 : 315; 5/1/26 : 330; 6/8/26 : 360

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$317.31
CDW Corporation (CDW.O)	O (06/23/2026)	\$144.36
Circuit Inc (CRCT.O)	U (08/12/2021)	\$4.52
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$427.11
Everpure, Inc. (P.N)	E (06/11/2024)	\$75.36
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$243.61
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.71
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$47.24
HP Inc. (HPQ.N)	U (11/16/2025)	\$24.77
IBM (IBM.N)	E (01/18/2023)	\$290.23
Ingram Micro (INGM.N)	E (06/11/2025)	\$28.98
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.65
Logitech International SA (LOGI.O)	U (01/20/2026)	\$102.22
NetApp Inc (NTAP.O)	U (01/20/2026)	\$163.93
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$35.40
Seagate Technology (STX.O)	O (03/26/2024)	\$860.66
SmartRent, Inc. (SMRT.N)	++	\$0.98
Sonos Inc. (SONO.O)	E (11/06/2025)	\$15.04
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$251.31
Teradata (TDC.N)	O (04/08/2025)	\$33.96
Western Digital (WDC.O)	O (04/16/2025)	\$555.55
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$55.22

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* Historical prices are not split adjusted.

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